

Voluntary Report – Voluntary - Public Distribution

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Report Name: India Allocates Tariff-Rate Quotas of 2 Million Metric Tons each for Crude Soybean Oil and Crude Sunflower Oil

Country: India

Post: New Delhi

Report Category: Agricultural Situation, Oilseeds and Products, Climate Change/Global Warming/Food Security, Policy and Program Announcements, Agriculture in the News

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Report Highlights:

On May 24, 2022, India's Ministry of Commerce and Industry/Directorate General of Foreign Trade issued Public Notice No. 10/2015-20 (May 24, 2022) (see, Appendix I). The public notice specifies that India is allocating a tariff-rate quota (TRQ) of 2 million metric tons (MMT) for crude soybean oil and a similar TRQ of 2 MMT for crude sunflower oil in India fiscal year (IFY) 2022/23 and in IFY 2023/24. The Indian government's measure is meant to address the high domestic prices of edible oils, and to check rising food inflation.

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GENERAL INFORMATION

On May 24, 2022, India's Ministry of Commerce and Industry/Directorate General of Foreign Trade issued Public Notice No. 10/2015-20 (May 24, 2022) (see, Appendix I). The public notice specifies that India is allocating a tariff-rate quota (TRQ) of 2 million metric tons (MMT) for crude soybean oil and a similar TRQ of 2 MMT for crude sunflower oil in India fiscal year (IFY) 2022/23 (April-March) and in IFY 2023/24.

The Indian government's measure is meant to address the high domestic prices of edible oils, and to check rising food inflation. India has already eliminated the basic import duty on crude palm oil, crude soybean oil, and crude sunflower oil. India has also now removed the five percent Agriculture Infrastructure and Development Cess (AIDC) on these three grades of edible oils (see, [GAIN-INDIA IN2022-0032| India Oilseeds and Products Annual - 2022](#)). Removing the AIDC levy can potentially help to bring down domestic prices, assisting domestic consumers and refiners to cushion the financial impact of rising food costs.

India's Rising Food Price Inflation

The Ministry of Statistics and Program Implementation (MOSPI) is calculating edible oils price inflation in April 2022, already [17 percent above the overall retail inflation](#) (Consumer Price Index). A range of factors is driving price inflation, including Indonesia's April 2022 palm oil export ban (now rescinded on May 23), a short in the South American soybean crop, Argentina's soybean meal export ban (March 2022), and Russia's invasion of Ukraine disrupting Black Sea region production and trade.

Rising consumer demand for edible oils, especially for palm oil, in the wake of India's COVID-19 pandemic lockdowns, combined with tight global supplies is spurring on bullish sentiment within the edible oils trade. As of May 24, 2022, the spot price for crude soybean oil is quoted at Indian rupees (INR) 157,000/MT (\$2,057/MT), ex-Indore. The spot price for crude sunflower oil is similarly quoted high at INR 180,000/MT (\$2,322/MT), ex-Chennai.

Edible Oils Imports

India's Solvent Extractors Association (SEA) reports that India's edible oils imports overall fell 12.6 percent year-on-year basis. However, RBD palm olein and soybean oil imports have by 100 percent and almost 90 percent respectively (see, Table 1).

Table 1. India: Edible Oil Imports in April (Metric Tons)

Edible Oil	April-2021 (MT)	April-2022 (MT)	Percent Change (%)
Soybean Oil	144,020	273,151	89.66
Sunflower Oil	184,097	54,426	(70.44)
Crude Palm Oil	689,731	414,829	(39.85)
RBD Palm Olein	0	149,679	100

Source: Solvent Extractors Association.

The full text of the Ministry of Commerce and Industry/Directorate General of Foreign Trade Public Notice No. 10/2015-20 (May 24, 222) is accessible on the DGFT website located at:

<https://www.dgft.gov.in/CP/>.

APPENDIX I - DIRECTORATE GENERAL OF FOREIGN TRADE, PUBLIC NOTICE NO. 10/2015-20 (MAY 24, 2022)

[TO BE PUBLISHED IN THE GAZETTE OF INDIA EXTRAORDINARY PART-I, SECTION-I]

Government of India
Ministry of Commerce and Industry
Department of Commerce
Directorate General of Foreign Trade

Public Notice No. 10 / 2015-20
New Delhi, Dated 24th May, 2022

Subject: Allocation of Tariff Rate Quota for Import of Crude Soya bean Oil and Crude Sunflower Oil -reg

In exercise of the powers conferred under Para 1.03 and 2.04 of the Foreign Trade Policy, 2015-2020, the Director General of Foreign Trade hereby notifies the provisions for import of Crude Soyabean Oil and Crude Sunflower Seed Oil under Tariff Rate Quota (TRQ) by amending para 2.60 and 2.61 of the Handbook of Procedures as follows :

1. The following provision is inserted as para 2.60(b) of the Hand book of procedures:

Tariff Rate Quota (TRQ) Imports shall be allocated during financial years 2022-23 and 2023-24, up to quantities per year as indicated below. The duty exemption under the said TRQs may be availed as per Ministry of Finance (Department of Revenue) Notification No. 30/2022-Customs dated 24.05.2022.

Item Description	ITC (HS)	TRQ per Year (in MT)
Crude Soya-bean oil, whether or not degummed	1507 10 00	20,00,000
Crude Sunflower seed oil	1512 11 10	20,00,000

2. The following provision is inserted as para 2.61(d) of the Hand book of procedures:

DGFT invites fresh applications for allocation of said Tariff Rate Quotas (TRQ) during FY 2022-23 with effect from 27.05.2022 and not later than **18.06.2022** as follows -

- Applications where the date of issuance of their Importer-Exporter Code (IEC) is on or after the date of this Public Notice shall not be considered.
- The applications shall be considered on Actual User basis to processors/refiners only based upon their own processing capacity.
- For each processing unit, applicants shall provide a self-certified copy of documentary proof issued by Central/State Authorities, indicating its processing capacity. The certificate should be dated prior to issue of this Public Notice. The process capacity for Crude Sunflower Oil or Crude Soya Oil should be clearly mentioned in the said certificates.

- Applicants shall also provide a valid FSSAI License for the said categories.
- Only one application against one IEC shall be considered.
- The TRQs shall be valid for 1 year from the date of Issuance.

3. Applications for allocation during FY 2023-24 shall be invited separately at subsequent dates.

4. The TRQ for each eligible applicant shall be notified as per the decision of the EXIM Facilitation Committee under para 2.51 of the HBP 2015-20. The EFC, while examining the applications, will take into considerations; inter alia, the monthly/annual processing capacity of the applicant. DGFT reserves the right to make any changes in the allocation at any point of time, as deemed fit.

5. **Effect of Public Notice:** Provisions for allocation of Tariff Rate Quota (TRQ) for 20 Lakh MT of Crude Soya bean oil and 20 Lakh MTs of Crude Sunflower oil for FY 2022-23 and 2023-24 has been notified.


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Attachments:

No Attachments.